

DECODED EXPLAINED

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The Other 'NEET' That India Needs to Address

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YOUTH PROTESTS that forced the resignation of India's Union Education Minister almost exactly a month ago have not only brought the issue of education into sharp focus, but also highlighted concerns related to unemployment — especially among the youth.

Until now, the government has often cited data on the Unemployment Rate (UER) to suggest that Indians are doing well on the jobs front. The UER is calculated as the number of unemployed people within the total labour force (those currently working or looking for work). Official data from the Periodic Labour Force Surveys (PLFS) says that the UER has fallen steadily from 6.6% in 2017-18 — hitting a 48-year high — to just 3.1% in 2025.

This is the UER for those aged 15 years and above, suggesting that broadly, the Indian economy has been creating jobs. However, at least three immediate problems arise even if one looks only at the UER.

Youth unemployment: Growing worry

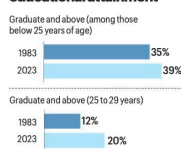
The first problem is that the UER for those between the ages of 15 and 29 years is still quite high, even though this number has also been falling. It has fallen from almost 18% in 2017-18 to around 10% in 2022-23 but has since stayed at this level.

In fact, not only is the unemployment rate highest among the youth as a cohort, it rises with educational attainment. As Chart 1 shows, graduates aged 25 face the highest unemployment rate — as high as almost 40%. It means that on average, 4 out of 10 graduates aged 25 years looking for work fail to get it.

The data is from the State of Working India (SWI) 2026 report by researchers at the Azim Premji University. They also calculated that the UER among young Indians with education up to graduation or more was actually higher in 2023 than in 1983.

While graduates being unemployed is not a new phenomenon in India, so much so that even movies of yesteryears capture this routine but crushing reality, the situation

CHART 1 Unemployment rises with educational attainment



seems to be worsening over time.

Quality of jobs, not just quantity

The second problem is that while more jobs have been created since 2017-18, there is a big question mark on their quality. Table 1 shows the size of the Indian workforce — the total number of people with a job. It has risen from 43.3 crore (or 433 million) in 2017-18 to 49.6 crore as of December 2025.

But a closer look shows that most new jobs are either in agriculture or in pursuits that pay little or see stagnant earnings. The SWI 2026 pointed out: "In the post-Covid period India's employed population has increased... with employment rates rising from 71% to 74 percent for men and from 26% to 34 percent for women, between 2021-22 and 2023-24. But the majority of employment creation has been in agriculture. Of the 63 million jobs added between 2021-22 and 2023-24, 40 million have been in agriculture, with women accounting for a large share (38 million)."

Similarly, while women have increasingly joined India's workforce — from 94 million in 2017-18 to 186 million in 2023-24 — Chart 2 shows, most earn very little. "The number of women in own-account self-employment has seen a nearly four-fold increase since 2017. Self-employment earnings among women and salaried earnings (for men and women) have largely stagnated," states the report.

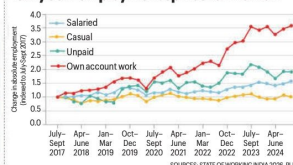
Unemployment rate misleads

Lastly, in developing economies such as India, using the UER to assess job market stress can be deeply misleading. That's be-

TABLE 1 Size of workforce (in millions)

Year	Male	Female	Total
2017-18	338	94	433
2018-19	343	97	440
2019-20	357	122	480
2020-21	357	126	483
2021-22	363	126	490
2022-23	349	128	477
2023-24	387	186	573
2025 (Jan-Dec)	416	206	616

CHART 2 Only self-employment spikes for women



SOURCES: STATE OF WORKING INDIA 2026, PLFS

cause the unemployment rate is measured as a percentage of the people demanding a job. While this is a reasonable approach generally, in India, evidence shows that not everyone registers in official surveys as people looking for a job. As such, the number of people unemployed is often far more than what is captured.

Rosa Abraham, an associate professor of economics who teaches at APU and is one of the authors of the SWI report, told *The Indian Express*, "Unemployment is only measured when you are willing to work and/or searching for a job. But, especially in the case of women (in India), what would happen is that regardless of their education, and even when they have, say, completed graduation, they may not explicitly have recorded (in our surveys) as looking for work." Such women thus get counted out of the "labour force". If these people were counted as unemployed, they would then be part of the labour force, and the unemployment rate would be much higher.

So UER is really the lowest estimate of people who are not being mobilised into the workforce. There is an entire pool of people who are out of the labour force who are either discouraged workers, or there are social norms (often for women) that keep them out of work," explains Abraham.

The other NEET

Another metric better captures how the Indian economy is failing its youth. It is called NEET — an acronym for "Not in

Employment, Education, or Training". NEET "is a comprehensive measure of this labour under-utilisation while excluding those in education or training. NEET not only includes the unemployed, but also those who are of working age and are neither in education/training nor employment," the APU report says.

Simply put, NEET presumes that many people may be pursuing education and, as such, they cannot be expected to join the workforce. So, NEET attempts to understand the share of people outside this umbrella.

According to PLFS data from March, 28% of Indian youth were NEET. Population projections by the Ministry of Health and Family Welfare state that India's youth population in 2026 stood at 36.8 crore, making it the world's largest youth population. If one applies the same proportion of NEET to 2026, out of a total youth population of 36.8 million (36.8 crore), around 92 million or 9.2 crore are in NEET.

In other words, the number of Indian youth neither involved in education nor skilling nor any kind of employment today is around 9.2 crore — almost equal to the entire population of Iran.

Apart from the high youth unemployment rate, such a high absolute number of NEET population may explain the growing youth unrest in the country. It is also important to remember that these numbers are at a time when the government is happy with the pace of economic growth based on GDP figures, even calling it a "goldlocks" period.

The Other 'NEET' That India Needs to Address

- **The Core Problem**

- Youth protests over the NEET paper leak highlighted unemployment concerns; while the headline Unemployment Rate (UER) has fallen to 3.1% in 2025 (a 45-year low), this hides deeper problems.
- The UER for those aged 15-29 remains high and rises with education: graduates aged 25 face nearly 40% unemployment, meaning 4 in 10 job-seeking graduates fail to get work.

- **The Quality-of-Jobs Problem**

- The workforce grew from 43.3 crore (2017-18) to around 61 crore (Dec 2025), but most new jobs are in agriculture or low-paying pursuits
- Women's workforce participation nearly doubled (94 million to 186 million), driven largely by own-account self-employment, which has grown four-fold since 2017 even as earnings have stagnated.

- **Why the Unemployment Rate Misleads**

- UER measures only those actively 'looking for work' — but many, especially women, don't register as job-seekers due to social norms even after graduating, getting counted out of the labour force entirely.
- If these discouraged workers were counted as unemployed, the unemployment rate would be much higher UER is really the lowest estimate of under-mobilised workers.

- **The Better Metric : NEET**

- NEET ('Not in Employment, Education, or Training') captures both the unemployed and those neither in education/training nor employment, without presuming non-workers are simply students.
- Per PLFS data, 25% of Indian youth are NEET : applied to India's 36.8 crore youth population, that implies around 9.2 crore NEET youth, almost Iran's entire population.

The Other 'NEET' That India Needs to Address

~40%

Unemployment rate among Indian graduates aged 25 (2023)

9.2 crore

Estimated NEET youth in India

25%

Share of Indian youth classified as NEET (Not in Education, Employment or Training)

3.1%

India's headline Unemployment Rate (UER) in 2025 a 45-year low

How the SC Ruling Redefined 'Industry'

How the SC ruling redefined 'industry'

The majority held that 'industry' under the IRC must be interpreted based on its own specific text and statutory context, unburdened by the legacy of the 1978 precedent. Justices B.V. Nagarathna, Dipankar Datta, and Ujjal Bhuyan formed the minority view that a re-evaluation of the 1978 judgment was 'unwarranted'

EXPLAINER

Krishnadas Rajagopal

The story so far: A nine-member Constitution Bench of the Supreme Court of India recently held that the nearly half-century-old interpretation of the term 'industry' will not automatically apply to the Industrial Relations Code (IRC), 2020, which came into force in November 2020 and replaced the legacy Industrial Disputes Act, 1947. This decision effectively severs the new labour regime from an expansive, worker-friendly precedent set in 1978, establishing a clean slate for future labour law disputes.

The scope of 'industry'

To understand the significance of this judgment, one must look back to the historic 1978 ruling in *Bangalore Water Supply and Sewerage Board v. R. Rajappa*.

Authorised by Justice V.R. Krishna lyer, that seven-judge Bench significantly broadened the definition of Section 2(i) under the 1947 Act. The 1978 judgment introduced the triple test, which classified systematic or organised operations based on employer-employee cooperation to provide goods or services for consumers as an industry.

This sweeping definition brought various activities, including hospitals, educational institutions, and municipalities, under the legal definition of an industry. The only exclusions were core sovereign functions of the state, such as defence, judiciary, and law enforcement. For nearly half a century, this judgment had enabled workers across diverse sectors to access legal recourse, enforce labour rights, and engage in collective bargaining against unfair practices.

The crux of the judgment

The Constitution Bench, led by Chief Justice of India Surya Kant, addressed the



Word of caution: Justice B.V. Nagarathna stressed that altering the definition of industry could create uncertainty and disrupt industrial peace. *NIP*

question whether the 1978 definition of 'industry' should govern Section 2(i) of the IRC.

The majority held that 'industry' under the IRC must be interpreted based on its own specific text and statutory context, unburdened by the legacy of the 1978 precedent. Chief Justice Kant noted that while the core principles of the 1978 ruling had stood the test of time, the 1978 judgment would no longer act as the "sheet anchor" for interpreting 'industry' under the IRC.

Pending cases under the 1947 Act will continue to be governed by the 1978 Bangalore Water Supply precedent. All future disputes governed by the new Industrial Relations Code will be interpreted afresh.

Differing points of view on the Bench

The nine-judge Bench reflected nuanced positions on the balance between worker

protections and modern economic realities.

An opinion authored by Chief Justice Kant, and shared with Justices Satish Chandra Sharma, Alok Arachde and Vipul M. Pancholi, held that the 'triple test' of 1978 Bangalore Water Supply and Sewerage Board case judgment will continue to be applied to pending industrial disputes.

The Chief Justice, however, found that the 1978 verdict could have been articulated differently and set down a "reformulated" triple test, which would operate prospectively. However, the possibility of using the recast triple test to determine if an operation was an industry or not under Section 2(i) of the repealed 1947 Act is non-existent as the new labour law, The Industrial Relations Code 2020, has already come into force. The Bench has unanimously made it clear that 'industry' under the 2020 Code will be

"interpreted independently" to align with contemporary industrial dynamics, and not be burdened by the 1978 verdict.

Justices B.V. Nagarathna, Dipankar Datta, and Ujjal Bhuyan formed the minority view on the Bench that a re-evaluation of the 1978 judgment was "unwarranted". Justice Nagarathna cautioned that altering the definition could create uncertainty and disrupt industrial peace.

Justice Nagarathna argued that the 1978 judgment had offered a broad-based definition of 'industry'. She highlighted that the judgment was a child of its time, when public sector workers were transitioning into private employment due to a changing industrial landscape inspired by privatisation, liberalisation and globalisation of the Indian economy.

Justice Joymalya Bagchi supported the need for the reference to the nine-judge Bench, but expressed his inability to agree to a "reformulated" triple test. Justice Bagchi said an apprehension that the triple test conceived in the 1978 judgment converted any organised activity into an industry was misplaced.

The judge agreed with Justice Nagarathna that even the state could enter into seemingly non-sovereign functions. The concept of 'sovereignty' has itself undergone changes with the passage of time. Absence of a profit motive did not take an activity outside the realm of industry, he observed. He said it was unwise to "re-draft" Justice lyer's triple test. Justice Datta echoed the need for judicial consistency. Sharing his opinion with Justice Bhuyan, Justice Datta remarked that institutional credibility relies on respecting finality rather than perpetuating doubt over established law.

A step towards a new era

By severing the IRC from the 1978 precedent, the Supreme Court has set the stage for a new chapter in Indian labour law, leaving it to future courts to decide where the lines between employer authority and worker protections will ultimately be drawn.

THE GIST

▼ A nine-member Constitution Bench of the Supreme Court recently held that the nearly half-century-old interpretation of the term 'industry' will not automatically apply to the Industrial Relations Code, 2020.

▼ A 1978 ruling had introduced the triple test, which classified organised operations based on employer-employee cooperation to provide goods or services for consumers as an industry. This judgment had enabled workers across diverse sectors to enforce labour rights.

How the SC Ruling Redefined 'Industry'

- **The Ruling**

A nine-member Constitution Bench held that the half-century-old interpretation of 'industry' will not automatically apply to the Industrial Relations Code (IRC), 2020, which replaced the Industrial Disputes Act, 1947.

The majority held 'industry' under the IRC must be interpreted on its own text and statutory context, unburdened by the legacy of the 1978 precedent.

- **The 1978 Precedent Being Revisited**

The 1978 ruling in Bangalore Water Supply and Sewerage Board v. R. Rajappa, authored by Justice V.R. Krishna Iyer, broadened 'industry' via a 'triple test', bringing hospitals, schools, and municipalities under its scope, excluding only core sovereign functions.

For nearly half a century, this enabled workers across diverse sectors to access legal recourse and enforce labour rights.

- **The 'Triple Test'**

The three-part test classifying an activity as an 'industry' based on systematic operations, employer-employee cooperation, and provision of goods/services, excluding sovereign functions. (No mention of a profit motive)

Thank You